(ii) **To shareholders:** Financial statements help the shareholders to know whether the business has potential for growth and to decide to continue their shareholding.

(iii) **To potential investors:** Financial statements help to value the securities and compare it with those of other business concerns before making their investment decisions.

(iv) **To creditors:** Creditors can get information about the ability of the business to repay the debts from financial statements.

(v) **To bankers:** Information given in the financial statements is significant to the bankers to assess whether there is adequate security to cover the amount of the loan or overdraft.

(vi) **To government:** Financial statements are significant to government to assess the tax liability of business concerns and to frame and amend industrial polices.

(vii) **To employees:** Through the financial statements, the employees can assess the ability of the business to pay salaries and whether they have future growth in the concern.

8.2.4 Limitations of financial statements

Following are the limitations of financial statements:

(i) **Lack of qualitative information:** Qualitative information that is non-monetary information is also important for business decisions. For example, efficiency of the employees, efficiency of the management, etc. But, this is ignored in financial statements.

(ii) **Record of historical data:** Financial statements are prepared based on historical data. They may not reflect the current position.

(iii) **Ignore price level changes:** Adjustments for price level changes are not made in the financial statements. Hence, financial statements may not reveal the current position.

(iv) **Lack of consistency:** Different business concerns may use different accounting methods. Hence, comparison between two business concerns becomes difficult.

(v) **Give only interim reports:** Financial statements are prepared at the end of every accounting period. But, the actual position of the business can be known only when the business is closed. Hence, financial statements may not reveal the exact position of the business concern.

(vi) **Limited access to external users:** The external users do not have detailed and frequent information of financial results as they have limited access.

(vii) **Influenced by personal judgement:** Preparation of financial statements may be influenced by personal judgements and therefore these are not free from bias.

8.3 Financial statements of companies

Following provisions of the Indian Companies Act, 2013 have to be followed while preparing the financial statements of a company:

(i) As per Section 2 (40), financial statements include balance sheet, profit and loss account / income and expenditure account, cash flow statement, statement of changes in equity and any explanatory note annexed to the above.

(ii) Section 129 (1) of the Indian Companies Act, 2013 states that the financial statements shall give a true and fair view of the state of affairs of the company and shall comply with the Accounting Standards notified under section 133.

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